

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-Q

(Mark One)

☒ **QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the quarterly period ended June 30, 2025

OR

☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the transition period from _____ to _____

Commission file number: **001-37580**

Alphabet Inc.

(Exact name of registrant as specified in its charter)

Delaware

61-1767919

(State or other jurisdiction of incorporation or organization)

(I.R.S. Employer Identification Number)

1600 Amphitheatre Parkway

Mountain View, CA 94043

(Address of principal executive offices, including zip code)

(650) 253-0000

(Registrant's telephone number, including area code)

Securities registered pursuant to Section 12(b) of the Act:

<u>Title of each class</u>	<u>Trading Symbol(s)</u>	<u>Name of each exchange on which registered</u>
Class A Common Stock, \$0.001 par value	GOOGL	Nasdaq Stock Market LLC (Nasdaq Global Select Market)
Class C Capital Stock, \$0.001 par value	GOOG	Nasdaq Stock Market LLC (Nasdaq Global Select Market)
2.500% Senior Notes due 2029	—	Nasdaq Stock Market LLC
3.000% Senior Notes due 2033	—	Nasdaq Stock Market LLC
3.375% Senior Notes due 2037	—	Nasdaq Stock Market LLC
3.875% Senior Notes due 2045	—	Nasdaq Stock Market LLC
4.000% Senior Notes due 2054	—	Nasdaq Stock Market LLC

Indicate by check mark whether the registrant: (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days. Yes ☒ No ☐

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files). Yes ☒ No ☐

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer

☒

Accelerated filer

☐

Non-accelerated filer

☐

Smaller reporting company

☐

Emerging growth company

☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒

As of July 16, 2025, there were 5,817 million shares of Alphabet's Class A stock outstanding, 847 million shares of Alphabet's Class B stock outstanding, and 5,430 million shares of Alphabet's Class C stock outstanding.

Alphabet Inc.
Form 10-Q
For the Quarterly Period Ended June 30, 2025

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Note About Forward-Looking Statements

This Quarterly Report on Form 10-Q contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. These include, among other things, statements regarding:

- the growth of our business and revenues and our expectations about the factors that influence our success and trends in our business;
- fluctuations in our revenues and margins and various factors contributing to such fluctuations;
- our expectation that the continuing shift to an online world as the digital economy evolves will continue to benefit our business;
- our expectation that the revenues that we derive beyond advertising will continue to increase and may affect our margins;
- our expectation that our traffic acquisition costs (TAC) and the associated TAC rate will fluctuate, which could affect our overall margins;
- our expectation that our monetization trends will fluctuate, which could affect our revenues and margins;
- fluctuations in paid clicks and cost-per-click as well as impressions and cost-per-impression, and various factors contributing to such fluctuations;
- our expectation that we will continue to periodically review, refine, and update our methodologies for monitoring, gathering, and counting the number of paid clicks and impressions, and for identifying the revenues generated by the corresponding click and impression activity;
- our expectation that our results will be affected by our performance in international markets as users in developing economies increasingly come online;
- our expectation that our foreign exchange risk management program will not fully offset our net exposure to fluctuations in foreign currency exchange rates;
- the expected variability of gains and losses related to hedging activities under our foreign exchange risk management program;
- the amount and timing of revenue recognition from customer contracts with commitments for performance obligations, including our estimate of the remaining amount of commitments and when we expect to recognize revenue;
- our expectation that our capital expenditures will increase, including our expected spend and the expected increase in our technical infrastructure investment to support the growth of our business and our long-term initiatives, in particular in support of artificial intelligence (AI) products and services;
- our plans to continue to invest in new businesses, products, services and technologies, and systems, as well as to continue to invest in acquisitions and strategic investments;
- our pace of hiring and our plans to provide competitive compensation programs;
- our expectation that our cost of revenues, research and development (R&D) expenses, sales and marketing expenses, and general and administrative expenses may increase in amount and/or may increase as a percentage of revenues and may be affected by a number of factors;
- estimates of our future employee compensation expenses;
- our expectation that our other income (expense), net (OI&E), will fluctuate in the future, as it is largely driven by market dynamics;
- fluctuations in our effective tax rate;
- seasonal fluctuations in internet usage, advertising expenditures, and underlying business trends such as traditional retail seasonality, which are likely to cause fluctuations in our quarterly results;
- the sufficiency of our sources of funding;
- our potential exposure in connection with new and pending investigations, proceedings, and other contingencies, including the possibility that certain legal proceedings to which we are a party could harm our business, financial condition, and operating results;

- our expectation that we will continue to face heightened regulatory scrutiny, and changes in regulatory conditions, laws, and public policies, which could affect our business practices and financial results;
- the expected timing, amount, and effect of Alphabet Inc.'s share repurchases and dividends;
- our long-term sustainability goals;
- our expectations regarding the timing and successful closing and integration of the Wiz, Inc. ("Wiz") acquisition, including the realization of anticipated benefits; and
- ongoing developments surrounding international trade and the related impact on the macroeconomic environment and our business;

as well as other statements regarding our future operations, financial condition and prospects, and business strategies. Forward-looking statements may appear throughout this report and other documents we file with the Securities and Exchange Commission (SEC), including without limitation, the following sections: Part I, Item 2, "Management's Discussion and Analysis of Financial Condition and Results of Operations" in this Quarterly Report on Form 10-Q and Part I, Item 1A, "Risk Factors" in our Annual Report on Form 10-K for the fiscal year ended December 31, 2024. Forward-looking statements generally can be identified by words such as "anticipates," "believes," "could," "estimates," "expects," "intends," "may," "plans," "predicts," "projects," "will be," "will continue," "will likely result," and similar expressions. These forward-looking statements are based on current expectations and assumptions that are subject to risks and uncertainties, which could cause our actual results to differ materially from those reflected in the forward-looking statements. Factors that could cause or contribute to such differences include, but are not limited to, those discussed in this Quarterly Report on Form 10-Q; the risks discussed in Part I, Item 1A, "Risk Factors" and the trends discussed in Part II, Item 7, "Management's Discussion and Analysis of Financial Condition and Results of Operations" in our Annual Report on Form 10-K for the fiscal year ended December 31, 2024; and those discussed in other documents we file with the SEC. We undertake no obligation to revise or publicly release the results of any revision to these forward-looking statements, except as required by law. Given these risks and uncertainties, readers are cautioned not to place undue reliance on such forward-looking statements.

As used herein, "Alphabet," "the company," "we," "us," "our," and similar terms include Alphabet Inc. and its subsidiaries, unless the context indicates otherwise.

"Alphabet," "Google," and other trademarks of ours appearing in this report are our property. We do not intend our use or display of other companies' trade names or trademarks to imply an endorsement or sponsorship of us by such companies, or any relationship with any of these companies.

PART I. FINANCIAL INFORMATION
ITEM 1. FINANCIAL STATEMENTS

Alphabet Inc.
CONSOLIDATED BALANCE SHEETS
(in millions, except par value per share amounts)

	As of December 31, 2024	As of June 30, 2025 (unaudited)
Assets		
Current assets:		
Cash and cash equivalents	\$ 23,466	\$ 21,036
Marketable securities	72,191	74,112
Total cash, cash equivalents, and marketable securities	95,657	95,148
Accounts receivable, net	52,340	55,048
Other current assets	15,714	16,020
Total current assets	163,711	166,216
Non-marketable securities	37,982	52,574
Deferred income taxes	17,180	19,289
Property and equipment, net	171,036	203,231
Operating lease assets	13,588	14,255
Goodwill	31,885	32,335
Other non-current assets	14,874	14,153
Total assets	<u>\$ 450,256</u>	<u>\$ 502,053</u>
Liabilities and Stockholders' Equity		
Current liabilities:		
Accounts payable	\$ 7,987	\$ 8,347
Accrued compensation and benefits	15,069	12,168
Accrued expenses and other current liabilities	51,228	52,039
Accrued revenue share	9,802	9,787
Deferred revenue	5,036	4,969
Total current liabilities	89,122	87,310
Long-term debt	10,883	23,607
Income taxes payable, non-current	8,782	10,027
Operating lease liabilities	11,691	11,952
Other long-term liabilities	4,694	6,241
Total liabilities	125,172	139,137
Commitments and Contingencies (Note 10)		
Stockholders' equity:		
Preferred stock, \$0.001 par value per share, 100 shares authorized; no shares issued and outstanding	0	0
Class A, Class B, and Class C stock and additional paid-in capital, \$0.001 par value per share: 300,000 shares authorized (Class A 180,000, Class B 60,000, Class C 60,000); 12,211 (Class A 5,835, Class B 861, Class C 5,515) and 12,104 (Class A 5,816, Class B 849, Class C 5,439) shares issued and outstanding	84,800	89,283
Accumulated other comprehensive income (loss)	(4,800)	(2,127)
Retained earnings	245,084	275,760
Total stockholders' equity	325,084	362,916
Total liabilities and stockholders' equity	<u>\$ 450,256</u>	<u>\$ 502,053</u>

See accompanying notes.

Alphabet Inc.
CONSOLIDATED STATEMENTS OF INCOME
(in millions, except per share amounts; unaudited)

	Three Months Ended		Six Months Ended	
	June 30,		June 30,	
	2024	2025	2024	2025
Revenues	\$ 84,742	\$ 96,428	\$ 165,281	\$ 186,662
Costs and expenses:				
Cost of revenues	35,507	39,039	69,219	75,400
Research and development	11,860	13,808	23,763	27,364
Sales and marketing	6,792	7,101	13,218	13,273
General and administrative	3,158	5,209	6,184	8,748
Total costs and expenses	57,317	65,157	112,384	124,785
Income from operations	27,425	31,271	52,897	61,877
Other income (expense), net	126	2,662	2,969	13,845
Income before income taxes	27,551	33,933	55,866	75,722
Provision for income taxes	3,932	5,737	8,585	12,986
Net income	\$ 23,619	\$ 28,196	\$ 47,281	\$ 62,736
Basic net income per share (Note 12)	\$ 1.91	\$ 2.33	\$ 3.82	\$ 5.16
Diluted net income per share (Note 12)	\$ 1.89	\$ 2.31	\$ 3.78	\$ 5.12

See accompanying notes.

Alphabet Inc.
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(in millions; unaudited)

	Three Months Ended		Six Months Ended	
	June 30,		June 30,	
	2024	2025	2024	2025
Net income	\$ 23,619	\$ 28,196	\$ 47,281	\$ 62,736
Other comprehensive income (loss):				
Change in foreign currency translation adjustment, net of income tax benefit (expense) of \$(26), \$190, \$(44), and \$235	(447)	2,610	(950)	3,273
Available-for-sale investments:				
Change in net unrealized gains (losses)	(93)	191	(453)	836
Less: reclassification adjustment for net (gains) losses included in net income	230	(29)	541	(113)
Net change, net of income tax benefit (expense) of \$(40), \$(46), \$(26), and \$(205)	137	162	88	723
Cash flow hedges:				
Change in net unrealized gains (losses)	232	(920)	418	(1,233)
Less: reclassification adjustment for net (gains) losses included in net income	(95)	107	(166)	(90)
Net change, net of income tax benefit (expense) of \$(27), \$208, \$(50), and \$339	137	(813)	252	(1,323)
Other comprehensive income (loss)	(173)	1,959	(610)	2,673
Comprehensive income	\$ 23,446	\$ 30,155	\$ 46,671	\$ 65,409

See accompanying notes.

Alphabet Inc.
CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(in millions; unaudited)

Three Months Ended June 30, 2024					
	Class A, Class B, Class C Stock and Additional Paid-In Capital		Accumulated Other Comprehensive Income (Loss)	Retained Earnings	Total Stockholders' Equity
	Shares	Amount			
Balance as of March 31, 2024	12,381	\$ 77,913	\$ (4,839)	\$ 219,770	\$ 292,844
Stock issued	33	0	0	0	0
Stock-based compensation	0	5,908	0	0	5,908
Tax withholding related to vesting of restricted stock units and other	0	(3,304)	0	0	(3,304)
Repurchases of stock	(92)	(789)	0	(14,809)	(15,598)
Dividends and dividend equivalents declared (\$0.20 per share)	0	4	0	(2,547)	(2,543)
Net income	0	0	0	23,619	23,619
Other comprehensive income (loss)	0	0	(173)	0	(173)
Balance as of June 30, 2024	12,322	\$ 79,732	\$ (5,012)	\$ 226,033	\$ 300,753

Six Months Ended June 30, 2024					
	Class A, Class B, Class C Stock and Additional Paid-In Capital		Accumulated Other Comprehensive Income (Loss)	Retained Earnings	Total Stockholders' Equity
	Shares	Amount			
Balance as of December 31, 2023	12,460	\$ 76,534	\$ (4,402)	\$ 211,247	\$ 283,379
Stock issued	65	0	0	0	0
Stock-based compensation	0	11,201	0	0	11,201
Tax withholding related to vesting of restricted stock units and other	0	(6,300)	0	0	(6,300)
Repurchases of stock	(203)	(1,707)	0	(29,948)	(31,655)
Dividends and dividend equivalents declared (\$0.20 per share)	0	4	0	(2,547)	(2,543)
Net income	0	0	0	47,281	47,281
Other comprehensive income (loss)	0	0	(610)	0	(610)
Balance as of June 30, 2024	12,322	\$ 79,732	\$ (5,012)	\$ 226,033	\$ 300,753

Three Months Ended June 30, 2025

	Class A, Class B, Class C Stock and Additional Paid-In Capital		Accumulated Other Comprehensive Income (Loss)	Retained Earnings	Total Stockholders' Equity
	Shares	Amount			
Balance as of March 31, 2025	12,155	\$ 86,725	\$ (4,086)	\$ 262,628	\$ 345,267
Stock issued	30	0	0	0	0
Stock-based compensation	0	6,045	0	0	6,045
Tax withholding related to vesting of restricted stock units and other	0	(2,709)	0	0	(2,709)
Repurchases of stock	(81)	(811)	0	(12,452)	(13,263)
Dividends and dividend equivalents declared (\$0.21 per share)	0	33	0	(2,612)	(2,579)
Sale of interest in consolidated entities	0	0	0	0	0
Net income	0	0	0	28,196	28,196
Other comprehensive income (loss)	0	0	1,959	0	1,959
Balance as of June 30, 2025	12,104	\$ 89,283	\$ (2,127)	\$ 275,760	\$ 362,916

Six Months Ended June 30, 2025

	Class A, Class B, Class C Stock and Additional Paid-In Capital		Accumulated Other Comprehensive Income (Loss)	Retained Earnings	Total Stockholders' Equity
	Shares	Amount			
Balance as of December 31, 2024	12,211	\$ 84,800	\$ (4,800)	\$ 245,084	\$ 325,084
Stock issued	57	0	0	0	0
Stock-based compensation	0	11,598	0	0	11,598
Tax withholding related to vesting of restricted stock units and other	0	(5,949)	0	0	(5,949)
Repurchases of stock	(164)	(1,626)	0	(26,938)	(28,564)
Dividends and dividend equivalents declared (\$0.41 per share)	0	60	0	(5,122)	(5,062)
Sale of interest in consolidated entities	0	400	0	0	400
Net income	0	0	0	62,736	62,736
Other comprehensive income (loss)	0	0	2,673	0	2,673
Balance as of June 30, 2025	12,104	\$ 89,283	\$ (2,127)	\$ 275,760	\$ 362,916

See accompanying notes.

Alphabet Inc.
CONSOLIDATED STATEMENTS OF CASH FLOWS
(in millions; unaudited)

	Six Months Ended	
	June 30,	
	2024	2025
Operating activities		
Net income	\$ 47,281	\$ 62,736
Adjustments:		
Depreciation of property and equipment	7,121	9,485
Stock-based compensation expense	11,129	11,514
Deferred income taxes	(2,738)	(1,596)
Loss (gain) on debt and equity securities, net	(757)	(11,411)
Other	1,185	1,041
Changes in assets and liabilities, net of effects of acquisitions:		
Accounts receivable, net	110	(1,201)
Income taxes, net	(889)	(2,434)
Other assets	(1,532)	(2,767)
Accounts payable	(563)	(327)
Accrued expenses and other liabilities	(5,176)	(1,560)
Accrued revenue share	97	(219)
Deferred revenue	220	636
Net cash provided by operating activities	55,488	63,897
Investing activities		
Purchases of property and equipment	(25,198)	(39,643)
Purchases of marketable securities	(43,011)	(39,870)
Maturities and sales of marketable securities	58,577	40,930
Purchases of non-marketable securities	(2,199)	(2,312)
Maturities and sales of non-marketable securities	605	873
Acquisitions, net of cash acquired, and purchases of intangible assets	(87)	(353)
Other investing activities	(32)	(363)
Net cash used in investing activities	(11,345)	(40,738)
Financing activities		
Net payments related to stock-based award activities	(6,138)	(5,731)
Repurchases of stock	(31,380)	(28,706)
Dividend payments	(2,466)	(4,977)
Proceeds from issuance of debt, net of costs	4,875	31,378
Repayments of debt	(5,502)	(18,397)
Proceeds from sale of interest in consolidated entities, net	8	400
Net cash used in financing activities	(40,603)	(26,033)
Effect of exchange rate changes on cash and cash equivalents	(363)	444
Net increase (decrease) in cash and cash equivalents	3,177	(2,430)
Cash and cash equivalents at beginning of period	24,048	23,466
Cash and cash equivalents at end of period	\$ 27,225	\$ 21,036

See accompanying notes.